

Abuse of Economic Dependence / Superior Bargaining Position in Korean Competition Law : From a Comparative Perspective with Japan



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BACKGROUND

Some Basics¹ and Beyond

- Modern Competition Law
 - A public policy measure to maintain the **pro-competitive market economy** *sensu lato* by means of a form of **public intervention** (alongside the possibility of private litigation) against anti-competitive practices based on ***ex-post* effect analysis**.
- Competition Law's concerns
 - **Foreclosure**, basically – e.g., Art 101, 102, TFEU  ; Section 1, 2, Sherman Act 
 - Rationale: If efficient competitors are forced out of the market by the exclusionary practices of an incumbent(s), the incumbent(s) will be capable of exploitation. **External constraint on contract**
 - When to intervene depends on what perspectives or theoretical postures put forward



1. Sangyun Lee, 'A Theoretical Understanding of Abuse of Economic Dependence in Competition Law' (SSRN Jun 2022) <https://ssrn.com/abstract=4134583> ("Lee (2022)"), pp.8-13. For further references, see Bakhoun (2015); Cseres (2011); Kovacic & Winerman (2010); Botta (2021); Gal (2013).

Some Basics and Beyond¹

- Some expanded (or modified or adapted) approaches (esp. in unilateral conduct)
 - Expansion of ABUSE – *e.g.*, direct **exploitation** (without exclusion), predation 
 - Expansion of POWER – *e.g.*, economic **dependence**, “partenaire obligatoire”     
 - Furthermore, some expansions incorporating **unfair practices**, such as
 - unfair competition ( Art. 3, Ley 15/2007;  Article 3¹, LEGE nr. 11)
 - unfair trading practices ( Sec. 5, FTC Act;  Art. 19, AMA;  Art.45, MRFTA)
 - unconscionable conduct ( Sec. 21, ACL (*Quantum*))
 - Additionally, the **market investigation** tools (   ...)
- On condition that their **structural** impacts are tantamount to the market distortion²
 - *E.g.*, relevance to competition  or public interest,  impacts on competition or trade order 
 - ...

1. This slide is based on Lee (2022), pp.44-55.

2. For further theoretical analysis of the harm of exploitative and/or economic dependence abuse, see Patrice Bougette, Oliver Budzinski, and Frédéric Marty, ‘Exploitative Abuse and Abuse of Economic Dependence: What Can We Learn From an Industrial Organization Approach?’ (2019) 129(2) *Revue d'économie politique* 261.

Japan & Korea Comp Laws

- Main statutes
 -  *Act on Prohibition of Private Monopolization and Maintenance of Fair Trade* ('AMA') (1947-)
 -  *Monopoly Regulation and Fair Trade Act* ('MRFTA') (1986-)
- Main prohibitions
 - Anti-competitive agreements; decisions of associations; and vertical restraints
 - Abusive or monopolizing practices by wielding substantial market power
 - Also, exploitative practices and unfair trading practices, incl. abuse of economic dependence
- ~~Conceptual dichotomy of harm (illegality)~~ (Dichotomy? Trichotomy?)
 - ~~Restraint on competition~~ — e.g., exclusionary effects, lessening competition, consumer surplus ↓
 - ~~Unfairness~~ — e.g., exploitative, coercive, and unconscionable nature and ramifications

Navigating Korea & Japan Comp Laws (provisional)

RC: Restraint on Competition
UF: Unfairness

TYPE	CONDUCT	KR MRFTA	JP AMA ¹
Horizontal restraint (Sec. 1 Sherman Act; Art. 101 TFEU)	Horizontal agreements and concerted practices	Art. 40(1) ^{RC}	Art. 3 with Art. 2(6) ^{RC}
	Group boycott (UTPs) ²	Art. 45(1)(1) with ED ³ 1(1) ^{RC}	Art. 19 with Art 2(9)(i) Art. 19 with GD ⁴ 1
	Decision of associations of undertakings	Art. 51(1) ^{RC}	Art. 8 ^{RC}
Vertical restraint (Sec. 1 Sherman Act; Art. 101 TFEU)	Tying (UTPs)	Art. 45(1)(5) with ED 5(1) ^{RC(UF)}	Art. 19 with GD 10 ^{RCUF}
	RPM (UTPs)	Art. 46 ^{RC}	Art. 19 with Art. 2(9)(iv)
	Sales restrictions (UTPs) (exclusive dealing, exclusive distribution agreements, restrictions on active selling, customer allocation agreements, etc.)	Art. 45(1)(7) with ED 7 (1)-(2) ^{RC(UF)}	Art. 19 with GD 11-12
Unilateral conduct	Abuse of dominance (Art. 102 TFEU) or Monopolization (Sec. 2 Sherman Act)	Art. 5(1) ^{RCUF}	Art. 3 with Art. 2(5) ^{RC}
	Abuse of economic dependence (UTPs)	Art. 45(1)(6) with ED 6 ^{UF}	Art. 19 with Art. 2(9)(v) Art. 19 with GD 13
Other UTPs ²	Discrimination	Art. 45(1)(2) with ED 2(1), (2), (4) ^{RC}	Art. 19 with Art. 2(9)(ii) Art. 19 with GD 3-5
	Predation (High/Low)	Art. 45(1)(3) with ED 3(1)-(2) ^{RC}	Art. 19 with Art. 2(9)(iii) Art. 19 with GD 6-7
	Unfair (unilateral) refusal	Art. 45(1)(1) with ED 1(2) ^{RC}	Art. 19 with GD 2
	Unfair inducement (aggressive/misleading/deceptive)	Art. 45(1)(4) with ED 4 ^{UF}	Art. 19 with GD 8-9 ^{UF}
	Unfair interference	Art. 45(1)(8) with ED 8 ^{UF}	Art. 19 with GD 14-15 ^{UFRC}

1. This Section has been made heavily relying on Masako Wakui, *Antimonopoly Law: Competition Law and Policy in Japan* (2nd edn, 2018), pp.141-142.
2. UTPs: Unfair Trading Practices. Specifically, “other UTPs” only indicate unfair practices that do not belong to other types of conduct.
3. ED: Enforcement Decree of the MRFTA, which sets out specific types and standards of UTPs pursuant to Art. 45(3) (See Table 2, Art. 52, Decree).
4. GD: UTPs designated by the JFTC (pursuant to Art. 2(9)(vi) AMA), which are generally applicable across sectors.

ABUSE OF ECONOMIC DEPENDENCE (aka. Superior Bargaining Position)

A Theoretical Understanding of E. Dependence

- Perceptions on power: ‘Power-to’ and ‘Power-over’ ¹
 - Morris (2002) ‘power is a dispositional concept and refers to the capacity to effect (*i.e.*, accomplish) outcomes, rather than an ability to affect other people (*i.e.*, alter their conduct).’
 - Emerson (1962) ‘to say that X has power is vacant, unless we specify “over whom”; “the power of A over B is equal to, and based upon, the dependence of B upon A.”’
- Contractual or Regulatory Protection $\neq$ Competition Law

in Civil law or regulatory frameworks	in Competition law frameworks
Power differences or imbalances	<u>Significant power</u> differences or imbalances
Situational, sector-specific, or party-specific harm	Structural, cross-sector, and ubiquitous harm

substantial market power; dominance; or monopolistic position

relative/superior market power; relative dominance; economic dependence; or superior bargaining position

1. Lee (2022), pp.16-18; Ioannis Lianos, Claudio Lombardi, Justin Lindeboom, and Christina Kanakari, ‘Superior Bargaining Power and Boundaries of Competition Law’ in Ioannis Lianos (ed), Global Food Value Chains and Competition Law BRICS Draft Report (2017-2018), pp.378-379.

Key Questions and Considerations¹

- Key questions to bear in mind when assessing AED/ASBP in competition law:
 - How to identify and discern *superior/relative market power* and *abuse*
 - How to distinguish *anti-competitive relativity* from a mere bargaining asymmetry
 - How to distinguish *market failure* from a contract/bargaining failure
- *Economic dependence*²:
 1. External focus: the objective absence of feasible alternatives; and
 2. Internal focus: the importance of the transaction in the weaker's business

* Various factors: market structure (e.g., competitive bottlenecks), characteristics of products/services (e.g., perishability, scarcity, relevance to health), the importance (or essentiality) of the technology, know-how, or infrastructure owned by the superior incumbent, the incumbent's brand power or reputation in the market, and customer behavioral patterns (e.g., brand loyalty, switching, or consumption path dependence), a gross disparity in business capabilities between parties, *etc.*
- *Abuse*: Whether exploitative or exclusionary, harm must be consequential, far-reaching

1. Lee (2022), pp.52-56.

2. See Cour de Cassation, Chambre commerciale, du 3 mars 2004, 02-14.529 and Bundesgerichtshof Beschluss vom Jan 23, 2018, *EDEKA v Bundeskartellamt*, KVR 3/17, DE:BGH:2018:230118BKVR3.17.0, paras 40-51; Masako Wakui and Thomas K. Cheng, 'Regulating Abuse of Superior Bargaining Position under the Japanese Competition Law: an Anomaly or a Necessity' (2015) 3(2) Journal of Antitrust Enforcement 302, pp.305-306.

A Typology of E. Dependence Rules

- Legislation models 1
 - How to implant the concept of abuse of economic dependence?
 - Within the dominance framework
 - (i) Exploitative abuse of dominance (*e.g.*, Art. 102(a))
 - Outside the dominance/monopolization framework
 - (ii) Stipulated separately but operated in close proximity to the dominance rule  
 - (iii) Stipulated and operated independently, based on the fairness doctrine  
- Differences between (ii) and (iii)
 - Fairness and exploitative concerns are more relevant to (iii) than (ii)
 - (iii) gives more leeway, if not a bypass, to enforcement authorities
 - Japan or Korea is the case in point.

1. See, Lee (2022), pp.44-55.

Abuse Control in Korea & Japan

KR 공정거래법	JP 独占禁止法
Art. 5(1) ^{RC} ^{UF} 시장지배적지위의 남용금지	Art. 3 with Art. 2(5) ^{RC} 私的独占の禁止
Art. 45(1)(6) with ED 6 ^{UF} (거래상 지위의 남용)	Art. 19 with Art. 2(9)(v) ^{UF} Art. 19 with GD 13 ^{UF} (優越的地位の濫用)
Art. 45 불공정거래행위의 금지 Art. 45(1)(6) 자기의 거래상의 지위를 부당하게 이용하여 상대방과 거래하는 행위 ED 6. 거래상 지위의 남용 가. 구입강제 거래상대방이 구입할 의사가 없는 상품 또는 용역을 구입하도록 강제하는 행위 나. 이익제공강요 거래상대방에게 자기를 위해 금전 · 물품 · 용역 기타의 경제상 이익을 제공하도록 강요하는 행위 다. 판매목표강제 자기가 공급하는 상품 또는 용역과 관련하여 거래상대방의 거래에 관한 목표를 제시하고 이를 달성하도록 강제하는 행위 라. 불이익 제공 구입강제, 이익제공강요, 판매목표강제 외의 방법으로 거래상대방에게 불이익이 되도록 거래조건을 설정 또는 변경하거나 그 이행과정에서 불이익을 주는 행위 마. 경영 간섭 임직원을 선임·해임함에 있어서 자기의 지시 또는 승인을 얻게 하거나 거래상대방의 생산품목·시설규모·생산량·거래내용을 제한함으로써 경영활동을 간섭하는 행위	Art. 19 with Art. 2(9) 不公正な取引方法の禁止 Art. 2(9)(v) 自己の取引上の地位が相手方に優越していることを利用して、正常な商慣習に照らして不当に、次のいずれかに該当する行為をすること。 イ 繼續して取引する相手方(新たに繼續して取引しようとする相手方を含む。口において同じ。)に対して、当該取引に係る商品又は役務以外の商品又は役務を購入させること。 ロ 繼續して取引する相手方に対して、自己のために金銭、役務その他の經濟上の利益を提供させること。 ハ 取引の相手方からの取引に係る商品の受領を拒み、取引の相手方から取引に係る商品を受領した後当該商品を当該取引の相手方に引き取らせ、取引の相手方に対して取引の対価の支払を遅らせ、若しくはその額を減じ、その他取引の相手方に不利益となるように取引の条件を設定し、若しくは変更し、又は取引を実施すること。 GD 13 (取引の相手方の役員選任への不当干渉) 自己の取引上の地位が相手方に優越していることを利用して、正常な商慣習に照らして不当に、取引の相手方である会社に対し、当該会社の役員(法第二条第三項の役員をいう。以下同じ。)の選任についてあらかじめ自己の指示に従わせ、又は自己の承認を受けさせること。

E. Dependence Rules in Korea & Japan (EN)

KR MRFTA	JP AMA
Art. 5(1) ^{RC} ^{UF} Prohibition on Abuse of Market-Dominant Position	Art. 3 with Art. 2(5) ^{RC} Prohibition on Private Monopolization
Art. 45(1)(6) with ED 6 ^{UF}	Art. 19 with Art. 2(9)(v) ^{UF} Art. 19 with GD 13 ^{UF}
Art. 45 Prohibition on Unfair Trade Practices Art. 45(1)(6) (Source: Korea Legislation Research Institute https://bit.ly/3TtOsEo) Trading with a certain transacting partner by unfairly taking advantage of his/her position in trade ED 6. (Source: Korea Fair Trade Commission https://bit.ly/3s2Al81) Abuse of the Position A. Forced Purchase: conduct in which an undertaking forces its trading counterparty to purchase goods or services against the will of the counterparty B. Forced Provision of Benefit: conducts in which an undertaking forces its trading counterparty to provide money, goods, and services or other financial benefits for the welfare of the undertaking in question C. Imposing Sales Target: conducts in which an undertaking sets a sales target on the goods or services it supplies and forces its trading counterparty to meet the target D. Imposed Disadvantages: conducts in which an undertaking imposes disadvantage to its trading counterparty by setting or a changing terms of trade or in the execution of the trade, through means other than forced purchase, forced provision of benefits or imposed sales target E. Interference with Business Management and Operations: conducts in which an undertaking interferes with management and operations of its trading counterparty by imposing restriction on items manufactured, scale of facilities and equipment, quantity of manufacture, and terms of trade, or by giving order or approval for appointment or dismissal of staff and executives	Art. 19 with Art. 2(9) Prohibition on Unfair Trade Practices 3. Art. 2(9)(v) (Source: Japan Fair Trade Commission https://bit.ly/3Sgy8Wq) engaging in any act specified in one of the following by making use of one's superior bargaining position over the counterparty unjustly, in light of normal business practices (a) causing the counterparty in continuous transactions (including a party with whom one newly intends to engage in continuous transactions; the same applies in (b) below) to purchase goods or services other than those to which the relevant transactions pertain (b) causing the counterparty in continuous transactions to provide money, services or other economic benefits (c) refusing to receive goods in transactions with the counterparty, causing the counterparty to take back such goods after receiving them from the counterparty, delaying payment to the counterparty or reducing the amount of payment, or otherwise establishing or changing trade terms or executing transactions in a way disadvantageous to the counterparty GD 13 (Source: Japan Fair Trade Commission https://bit.ly/3eIM3ql) (Unjust Interference with appointment of officer in one's transacting party) (13) Causing a corporation which is one's transacting party to follow one's instruction in advance, or to get one's approval, regarding the appointment of officers of the said corporation (meaning those as defined by Article 2, paragraph (3) of the Act (The same shall apply hereinafter)) , unjustly in light of the normal business practices by making use of one's dominant bargaining position over the party.

A Question Worth Pondering...

- Despite the similarities and commonalities of the two rules, why are the actual enforcement practices of the two enforcers* different?

* KFTC (allegedly, **over**-enforcement) ≠ JFTC (allegedly, **under**-enforcement)

Note. The KFTC is often accused of overly active and vigorous law enforcement activities in terms of not only quantity (the number of infringement cases) and quality (the amount of fines –up to 4% (UTPs & RPM), 6% (dominance), or 20% (cartels) – and criminal referrals, etc.)¹

- Maybe because of the cultural differences? (esp after the 1998 financial crisis in Korea)
- Are there more political pressures on the KFTC, than on the JFTC?
- Maybe because of some institutional differences? (2-tier & 3-tier judicial review systems)
- Are there any differences in the motivation and incentives of public officials?

...

1. For pecuniary fines, see, Art 50(1), Art. 8, and Art. 43 of the MRFTA. See also, Art. 125(4), Arts. 124(1)(1) and (9), MRFTA, for the legal basis of the criminal penalties. Please note that in the case of UTPs, the restricting-competition-type practices are not criminalized. Only ‘unfair’ UTPs (*i.e.*, Art. 45(1) subparagraph (4)(5)(6) and (8)) are subject to the penalties.

PRINCIPLES & STANDARDS

Established Case Law in Korea

- Relevant factors in assessing ASBP under the MRFTA

- Position in Trade (去來上地位)

- Trade (去來) – ‘Trade’ is more than a mere contract as such¹ (e.g., insurer – an injury victim)

- Position (地位) –

- “the legislative intent ... the enterpriser of comparatively advantageous position should be prohibited from giving the other party transactional disadvantage by abusing his position, thus it establishes a fair trade between transactional parties who are differently situated economically.” (*Pasteur Dairy*)²

- “When determining whether a position is advantageous, the following factors should be considered: market conditions, the differences between the parties' abilities to conduct business, and the characteristics of the goods which are the object of transaction” (*Pasteur Dairy*)

- For the ‘position in trade’ to be recognized, it is sufficient to show that one has a relatively superior position or is in a position that can have a significant influence on transactional activities with others³

1. Supreme Court Decision 2008Du14739 delivered on Jan 14, 2010 (Court’s translation: the term ‘trade’ “should be regarded as the general means or trade order to engage in business activity rather than an individual sales contract”).
2. Supreme Court Decision 97Nu19427 delivered on June 9, 2000 (*Pasteur Dairy*) https://library.scourt.go.kr/SCLIB_data/decision/97Nu19427.htm
3. Supreme Court Decision 2003Du1646 delivered on June 29, 2006, etc.

Established Case Law in Korea

- Relevant factors in assessing ASBP under the MRFTA
 - Position in Trade (去來上地位)
 - Harm (不利益); Unfairness (公正去來沮害性; 不公正性)
 - “To determine whether a behavior of a party resulted in a transactional disadvantage to the other party by using his position, we should consider the factors such as intention, objective, effect and influence of the behavior, characteristics of the goods, situation of transaction, degree of the prevailing position of the enterpriser, and contents and degree of disadvantage of the other party ... whether there was a deviation from the practice of normal transaction and whether it may impede a fair trade” (*Pasteur Dairy*) ¹
 - “the fact that the relevant act is [somewhat] disadvantageous to the other party is not enough” to constitute abuse (*S-OIL*) ²

1. Supreme Court Decision 97Nu19427 delivered on June 9, 2000 (*Pasteur Dairy*) https://library.scourt.go.kr/SCLIB_data/decision/97Nu19427.htm
2. Supreme Court Decision 2010Du25909 delivered on April 25, 2013 (*S-Oil*).

Established Case Law in Korea

- Relevant factors in assessing ASBP under the MRFTA
 - Relevance to Competition order (“競爭秩序”) or transactional (trade) order (“去來秩序”)¹
 - “[Art. 45(1)(6)] should be seen as a provision that ... prevents unfair trade practice from a public regulatory standpoint in order to establish fair trade or competition order.”
 - “[Art. 45(1)] requires relativity with trade [order] or competition order” by interpretation.
 - “... in cases [of ASBP against] a general consumer rather than a competitor or business operator, such act should be interpreted to include ... from a [wider] perspective (*i.e.*, impact on trade order), acts that may likely damage unspecified number of consumers stemming from a business operator taking advantage of one's position and/or acts that [may] undermine fair trade order stemming from continuous and repetitive acts of unfair trade practice.” “Therefore, the relativity with trade order should be first acknowledged in order to deem that this case's act may likely hurt fair trade.”
 - “the Plaintiff’s fault in forming personal trade relationship with certain members ... is insufficient to acknowledge [the relativity and harm to fair trade].” (*Geumbo Development*)

1. Supreme Court Decision 2012Du18325 Decided September 10, 2015 (*Geumbo Development*) https://library.scourt.go.kr/SCLIB_data/decision/08-2012Du18325.htm

Established Case Law in Korea

- Relevant factors in assessing ASBP under the MRFTA
 - Relationship with the prohibition of abuse of dominance
 - Each provision operates independently and can be applied concurrently.
 - “An act of refusing a transaction where a market dominating enterprise status exists as stipulated under subparagraph 3 of [Article 5] of the [MRFTA] is different from an act of unfair transaction under subparagraph 1 of [Article 45 (1)] of the [MRFTA] in its objectives and its scope. Thus, the meaning of [unjustness (不當性)] in a transaction refusal by a market dominating enterprise must be evaluated or interpreted independently and separately from the [unjustness (不當性)] of a transaction refusal as a type of unfair transaction stipulated under [subparagraph 1 of Article 45 (1)] of the [MRFTA].” ¹

1. Supreme Court Full Bench Decision 2002Du8626 Delivered on November 22, 2007 (*Posco*) <https://bit.ly/3TBq9VC>.

Comparison of the KFTC & JFTC approaches

	KR 공정거래법	JP 独占禁止法
	Unfair Trading Practices Guidelines (2021)	Guidelines Concerning ASBP under the AMA (2010)
Position	Differentiating ASBP from civil law issues - Much stricter standards will be applied than those applicable to bargaining power imbalances under the Korean Civil Act (Ⅴ. 6. (1)) - If parties were well informed and had a choice at the time of engaging in the contract, the ASBP is not applicable (Ⅴ. 6. (2) (가)) Considerations (Ⅴ. 6. (3)) - Continued relationship: transaction-specific investments; lock-in; already invested capitals - Significant dependency: the proportion of sales to the stronger party in the total sales of the weaker party - Market status, characteristics of products/services, etc. (LSY) Countervailing market power? Outside option? Feasible alternatives?	Basic principle - When the weaker cannot help but accept the superior's request, which is substantially unfavorable to the weaker because the suspension of the transaction with the superior would substantially impede the weak's business (第2-1) Considerations (第2-2) - Dependency: the portion of the weaker's sales to the superior's sales in the total sales of the weaker party. - Market position of the superior: market shares, ranks, etc. - Possibility for the weaker to switch trade partners: any feasible alternatives, transaction-specific investments, etc. - Necessity of the transaction with the superior: the volume of existing transactions with the superior, the superior's growth, the importance of the products/services in question (brand power), the possibility of increased credit/trust through transactions with the superior, differences in size, etc.
Causality		Presumed (第2-3)
Abuse (Harm)	Restrictions on economic freedom - Illegality: "substantive unfairness (거래내용의 불공정성)" which means an impairment of the other trading party's freedom of decision-making or imposing disadvantages (Ⅲ. 1. 가. (2). (라) and Ⅴ. 6. (4)) - Considerations: intent, predictability, prevailing custom or practice, legal context, etc. (Ⅴ. 6. (4) (다)) - Balancing (limited): outweighing efficiency gains or consumer benefits (Ⅴ. 6. (4) (라))	Restrictions on economic freedom - Illegality: Impeding transactions based on the parties' free and autonomous decisions AND placing victims at a competitive disadvantage while giving perpetrators a competitive advantage (第1-1) - Considerations: the severity of the disadvantage at issue, the extensiveness of the act, the largeness of the number of victims, systemic violations, ramifications of conduct (第1-1), and being against the prevailing (legitimate)* custom or practice (第3). * In light of the "fair competition order" (第3)

Miscellaneous...

- (at V. 6. (1) of the KFTC guidelines) 사업자가 거래상 우월적 지위가 있음을 이용하여 열등한 지위에 있는 거래상대방에 대해 일방적으로 물품 구입강제 등 각종 불이익을 부과하거나 경영에 간섭하는 것은 경제적 약자를 착취하는 행위로서 거래상대방의 자생적 발전기반을 저해하고 공정한 거래기반을 침해하므로 금지된다. 다만, 거래상지위 남용행위는 거래상지위가 있는 예외적인 경우에 한하여 민법의 불공정성 판단기준을 사업자간 거래관계에서 완화된 것이므로 거래상지위는 민법이 예상하고 있는 통상적인 협상력의 차이와 비교할 때 훨씬 엄격한 기준으로 판단되어야 한다.
- (machine translation) 事業者が取引上優越的地位があることを利用して劣等な地位にある取引相手に対して一方的に物品購入強制など各種不利益を賦課したり経営に干渉することは経済的弱者を搾取する行為であり取引相手の自生的発展基盤を阻害し公正な取引基盤を侵害するため禁止される。ただし、取引上の地位乱用行為は取引上の地位がある例外的な場合に限り、民法の不公正性判断基準を事業者間の取引関係で緩和したものであるため、取引上の地位は民法が予想している通常の交渉力の差と比較すると、はるかに厳格な基準で判断されなければならない。

CASE STUDY:

AED/ASBP in Digital Markets

Case Study 1: *Delivery Hero* (2020)

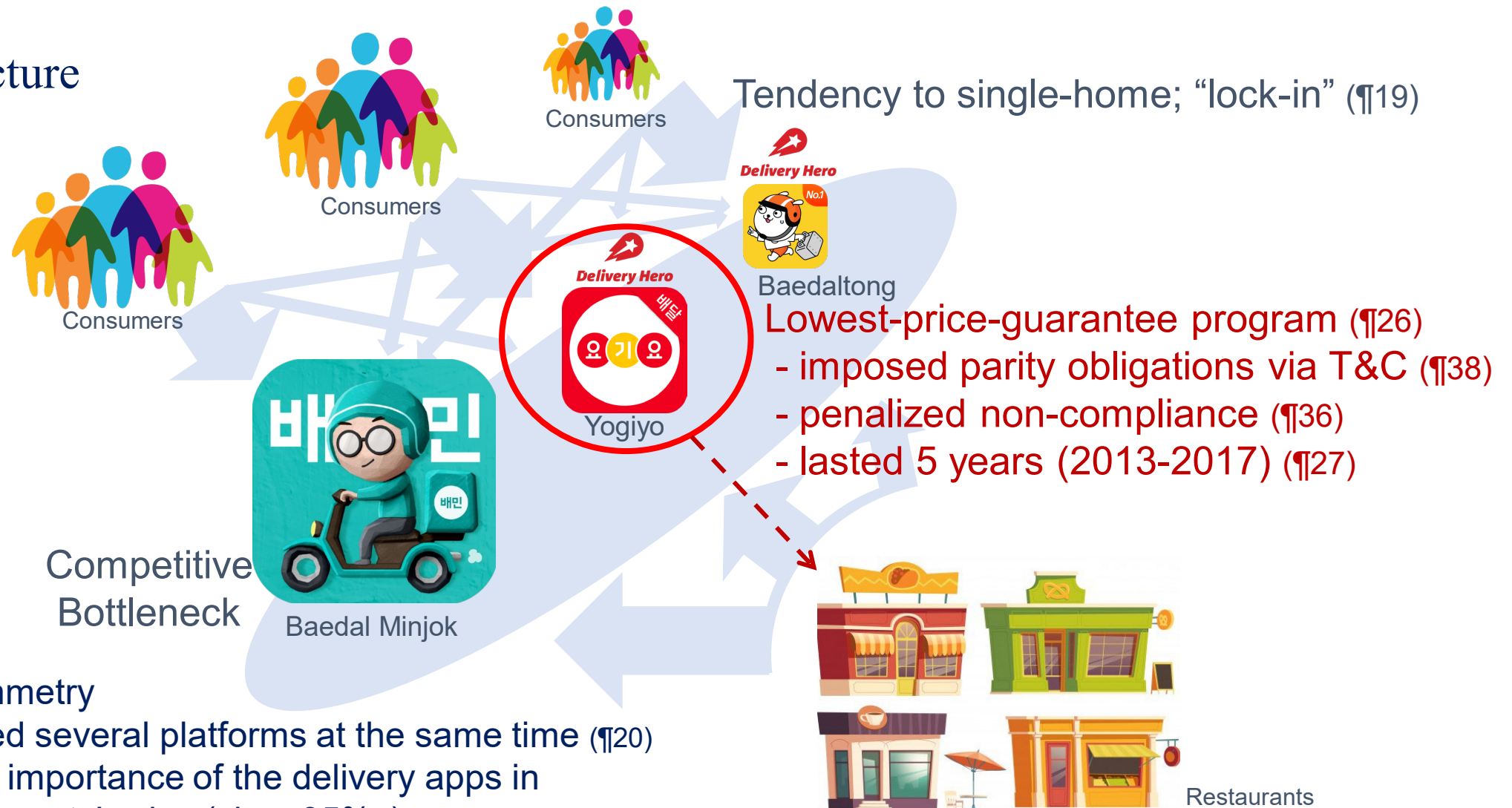
- Addressee **Delivery Hero**, providing an online food-delivery service company operating a food-delivery app Yogiyo in Korea matching consumers and restaurants (also couriers)
- Competitors **Baedal Minjok** (by Woowa Brothers)
Baedaltong (by Baedaltong (Delivery Hero's subsidiary))
- Structure (shares by volume of sales for each of them)

		2015	2016	2017
	 Baedal Minjok	55.0%	61.6%	64.5%
	 Yogiyo	26.3%	26.5%	26.7%
	 Baedaltong	18.7%	11.9%	08.8%

(Source: Korea Investors Service, as cited in the KFTC's Press release)

Case Study 1: *Delivery Hero* (2020)

- Structure



Asymmetry

- used several platforms at the same time (¶20)
- the importance of the delivery apps in restaurants' sales (circa 35%↑) (¶¶20-23)

Case Study 1: *Delivery Hero* (2020)

The KFTC's Decision of 24 August 2020, No. 2020-251 ([LINK](#))

- **Position** (superior bargaining position)

1. **Continued relationship** (“繼續的 去來關係”) (¶46)
 - Significant increase in consumers using Yogiyo; a considerable number of the consumers tending to single-home; the continued relationship with the platform and restaurants.
2. **Significant dependency** (“相當한 去來依存度”) (¶47)
 - **Benefits of increasing brand visibility** in delivery apps; Yogiyo's 2nd largest share in the market¹; the necessity of **multi-homing** (*i.e.*, competitive bottleneck); **the continued growth of the portion** of delivery sales generated via the app Yogiyo in the business users' total delivery sales².
3. **Absence of (feasible) alternatives** (“充分한 代替去來先” 不在) (¶48)
 - Single-homing consumers & multi-homing businesses (competitive bottleneck); (indirect) network effect (¶9); **difficulties in securing the same number of consumers** within a short-term period of time in the case of termination of the business relationship with Delivery Hero (Yogiyo)
4. **Significant difference in business capabilities** (“全體的 事業能力의” 相當한 “隔差”) (¶49)
 - **Size.** Most restaurants were SMEs, while Delivery Hero (Yogiyo) was a large company

1. The figure is concealed.

2. The figure is concealed but can be estimated at about 10-20% based on the survey result in note 48.

Case Study 1: *Delivery Hero* (2020)

- **Abuse** (Re. unfairness (“公正去來沮害性”))
 - Type: interference with other’s operating activities (“經營干涉” at Guidelines V. 6. E.)
 - 1. Restriction on the restaurants’ **freedom to set prices** (§52).
 - Restaurant business operators shall be able to **autonomously determine** food prices and service items accordingly, taking into account the differences in related costs and consumer features by distribution channel. Delivery Hero restricted such freedom.
 - 2. Against the principle of “**the beneficiary pays**” (§53).
 - Delivery Hero, the beneficiary of the price parity program, **foisted the costs upon the restaurants**, the non-beneficiaries, to implement the program ¹
 - 3. Neither an **ancillary restraint** for the provision of the delivery service nor a **prevailing custom or practice** (‘通常的 去來慣行’) in the industry (§54)
 - The leading app, Baedal Minjok, did **not** adopt such a price parity program

1. See note 51. The KFTC saw that the total amount of demands remained the same because the increase in orders through Yogiyo due to the parity program would have been made through other apps if the program had not been implemented.).

Case Study 1: *Delivery Hero* (2020)

- **Arguments** (alleged justifications)

1. “Implemented on a **voluntary** basis (without coercion)”
 - Claimed that ‘the restaurants voluntarily agreed upon the T&C that contained a parity clause through which the lowest-price-guarantee program was implemented’ (¶55)
 - **Rejected** as, given the context, it was **not clear** whether they genuinely agreed on the implementation of the program. (¶56) Furthermore, there was **no economic reason** to believe so, considering the profitability of differentiation. Indeed, some restaurants did not follow the program and were sanctioned by Delivery Hero (¶57)
2. “Needed for the prevention of **free-riding** and **prevailed** in the industry” (¶58)
 - **Rejected** as it is **unlikely** that the free-riding problem takes place in the case of the food delivery service (**hotels ≠ restaurants**), such an intention was not found in the evidence submitted, and there were **less restrictive measures** to achieve that goal (¶ 59). Also, the parity obligation was not an ancillary restraint for providing the service, and not prevailed in the industry (considering several precedents in Europe) (¶ 60)

Case Study 1: *Delivery Hero* (2020)

- **Arguments** (and justifications)

1. “Implemented on a voluntary basis (without coercion)”
2. “Needed for the prevention of free-riding and prevailed in the industry” (§58)
3. “Outweighed by **pro-competitive effects (justifications)**”
 - Claimed that ‘the program generated new sales, and reduced transaction costs, resulting in an increase in consumer benefits’ (§ 61)
 - **Rejected** because ...
 - the increase in sales via Yogiyo cannot be equated with the increase in total sales (uncertain);
 - the practice in question may have led to the loss of opportunity for consumers to buy food at lower prices by **eliminating price competition** between different channels; and
 - the practice in question may have been able to **raise prices** on other sales channels (§ 62)

Case Study 1: *Delivery Hero* (2020)

• Conclusion

- Violation of the Art. 45(1)(6) (then, Art. 23(1)(4))
- Cease, desist order & administrative fine of ₩ 468 million* (circa ¥ 49 million)
 - * which reflected the gravity and duration of the infringement (3.5 years)

• Follow-on criminal action

- The KFTC made a **criminal referral** to the criminal authority
 - At the request of the **Ministry of SMEs and Startups**
- The Seoul Central District Prosecutors' Office had sought a criminal monetary penalty of ₩ 50 million
- But the Court **acquitted** Delivery Hero (“**intention X**”)

(Source: Chosun Ilbo, Sep 15, 2022)



Case Study 1: *Delivery Hero* (2020)

- **Discussions**

- Power – **Relevant, effective, efficient** and **coherent** in finding (a platform's) anti-competitive power
 - UK CMA's defeat in *Compare The Market* (esp. errored in the market definition)
- Abuse – Raising several questions, esp. in terms of **relevance**, **coherence** or legitimacy
 1. Are coercive practices **by their nature anti-competitive**? (where's harm to **competitive process**)
i.e., the necessity of analysis of **dynamic effects** of exploitative practices (e.g., *Facebook*)
 2. If Delivery Hero had imposed **narrow MFNs**, would they have also been ASBP?
i.e., the **problem of the 'choice' or 'economic freedom' oriented approach**
 3. To what extent and how critically can **moral aspects** be considered in ASBP cases?
i.e., the doer's unjust **intention** (moral opprobrium), the need for **the protection of SMEs**, etc.
problematic, esp. in the **non-bifurcated enforcement** model (the **risk of excessive discretion**).
 4. Can this case give any useful guidance for companies to perform **self-assessments**?
i.e., the **legal certainty**, clarity, and predictability

Case Study 1: *Delivery Hero* (2020)

- **Discussions**

- What if the KFTC had relied on the sales restrictions (‘拘束條件附去來’) provision*?

* Art. 45(1)(7) MRFTA (ED 7) (i.e., the Korean equivalent of ‘拘束條件付取引’ of GD 12)

- Comparison with Japan’s ***Booking.com*** (2022) (commitments) cases

1. Facts

Booking.com engaged in the price parity (MFN) agreements with accommodation operators like hotels (i.e., ‘required them to comply the clause’), and such conduct (excluding restrictions upon sales through their direct sales channels – narrow MFN) was accused of violating the AMA

2. Statute

Art. 19; GD 12 – the prohibition on restrictive conditions (with the effect of lessening competition)

3. Effects

Allegedly, the price parity (MFN) agreements (excluding the narrow scope) had the effect of discouraging price competition between similar platforms by making accommodation operators offer the same prices on every platform

4. Conclusion (remedies)

Booking.com committed to removing the existing conditions and will not engage in the same practice

Case Study 2: *Coupang* (2021)

- Addressee **Coupang**, in the online shopping market ¹ (principally on mobile) dubbed “Amazon of Korea” (having the same model as AMZ) subject to a specific **stronger regulation** for ‘large retailers’ in KR²
- Competitors **NAVER**, **11ST**, **Gmarket**, Auction, GS Home Shopping, Wemakeprice
Offline retailers ...
- Structure (shares by volume of sales, transactions, and users)

	SALES (Online)	TRANSACTIONS (Online)	VISITORS (PC)	VISITORS (mobile)	LOYALTY USERS (mobile)
1	Coupang	NAVER	Gmarket	Coupang	Coupang
2	GS	Coupang	Auction	11ST	NAVER
3	Lotte	Auction · Gmarket	11ST	Wemakeprice	11ST
4	Home & Shopping	11ST	Coupang	Gmarket	Wemakeprice

1. In the decision, the online shopping services were regarded to have two models: (i) inventory-based model (e.g., Coupang) and (ii) intermediary platform model (e.g., Naver) (¶3). Such a classification, however, does not play any significant role in the authority’s assessment.
2. 대규모유통업에서의 거래 공정화에 관한 법률 (Act on Fair Transactions in Large Retail Business) (often cited as “大規模流通業法”)

Case Study 2: Coupang (2021)

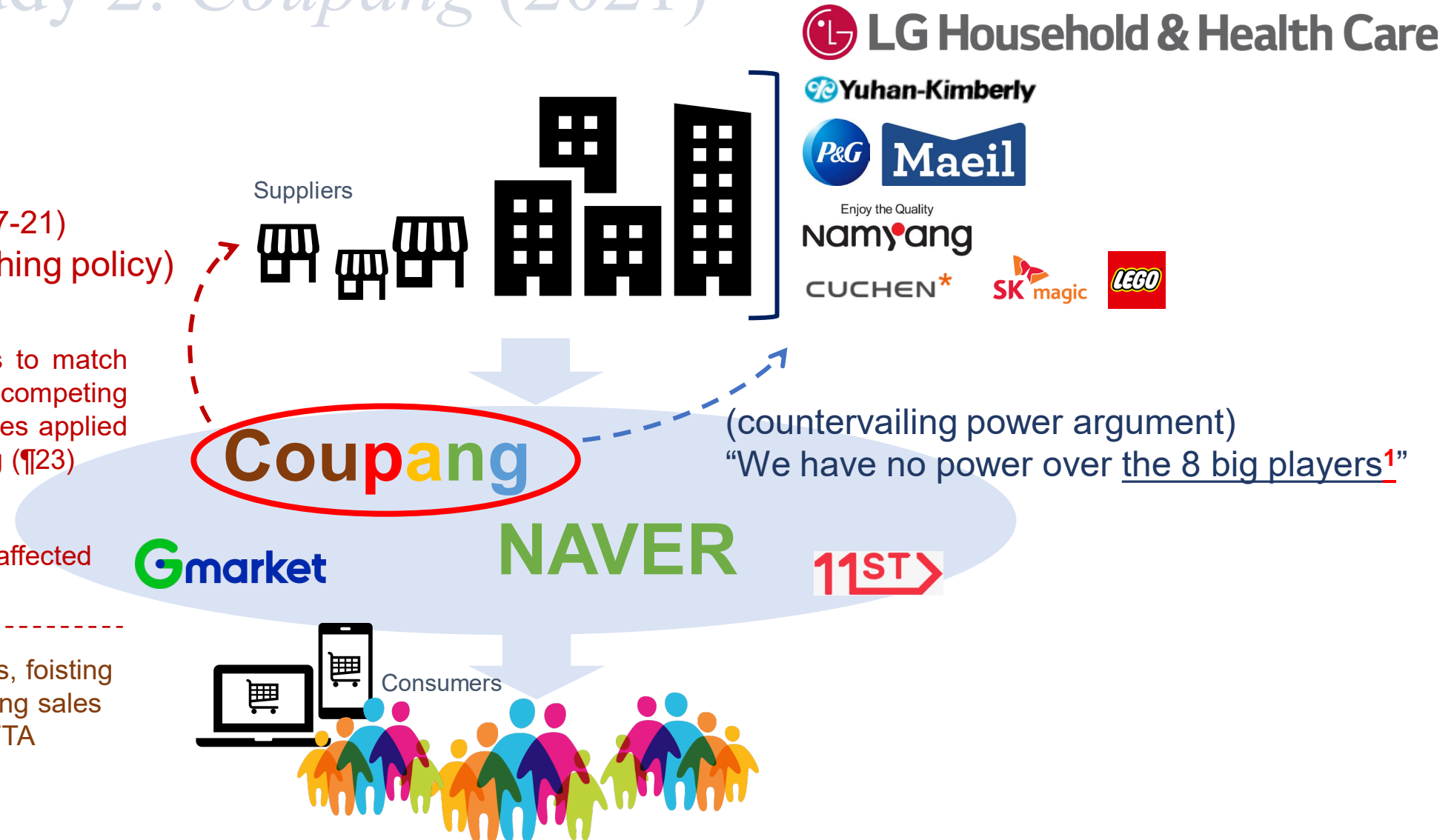
• Structure

"Dynamic pricing" (¶¶17-21) (the lowest-price-matching policy)

To minimize margin losses
Coupang forced its partners to match
(low) prices applied in other competing
sales channels to (high) prices applied
to products sold via Coupang (¶23)

During 2017-2020
101 suppliers, 360 products affected
(¶¶23-24)

* Also, forcing advertisements, foisting
promotion costs, and extracting sales
incentives – outside the MRFTA



1. The name of the companies are concealed in the decision (para 48) but can be found at <https://www.korea.kr/news/policyNewsView.do?newsId=156466934>.

Case Study 2: *Coupang* (2021)

The KFTC's Decision of 23 September 2021, No. 2021-237 ([LINK](#))

- **Position** (superior bargaining position)

1. Market status and market **position**

- Considered: its rapid **growth** compared to others (¶34); its position becoming more entrenched, especially **in mobile markets** (¶35).

2. Coupang's **importance** and **continued relationship**

- For suppliers, the sales generated from transactions with Coupang were important* and **suppliers are willing to (eager to) continue** the relationship with Coupang (¶36).

(* No data on how important they were. Specific figures were given only for the 8 big suppliers over whom Coupang claimed to have no asymmetric power (1-10%, Table 16))

3. **Absence of (feasible) alternatives**

- Suppliers' lack of feasible alternatives (as opposed to Coupang) (¶37) (* No more description)

4. **Inherent differences in business capabilities**

- (* Not bout size, but about) **Structural**, inherent asymmetries between retailers and suppliers, which are proved by the fact that suppliers were not able to reject the retailer's offer (¶38)

Case Study 2: *Coupang* (2021)

- **Abuse** (Re. unfairness (“公正去來沮害性”))
 - Type: interference with other’s operating activities (“經營干涉” at Guidelines V. 6. E.)
 - 1. Restriction on **economic freedom** (¶41, ¶43)
 - Coupang's conduct, which affected 360 products, and 101 suppliers (¶39),* infringed on the suppliers' rights to business freedom
 - (* Not clear if these were considered to assess the conduct’s structural effect – i.e., the trade/competition order)
 - 2. Miscellaneous
 - Due to Coupang’s policy, there was a concern that the **relationship between suppliers and other retailers** (i.e., Coupang’s competitors) deteriorate (¶44)
 - (* Not clear if this paragraph was intended to consider the policy’s impact on horizontal competitors.)
 - Coupang’s conduct impaired the price competition between online sales, likely to cause harm to **consumer welfare**, generating no or little efficiency gains (¶45)

1. See note 51. The KFTC saw that the total amount of demands remained the same because the increase in orders through Yogiyo due to the parity program would have been made through other apps if the program had not been implemented.).

Case Study 2: Coupang (2021)

- **Arguments** (against the KFTC's finding on the position)
 - **Countervailing bargaining power**
 - Coupang claimed: Especially in the case of the 8 big suppliers, each of them held a monopolistic position in a relevant product market, and they were less dependent on the sales from Coupang. Moreover, as Coupang needed their popular products for 'display completeness,' Coupang was inferior to them. (¶48)
 - Rejected because...
 - 'In order [for the authority] to establish the superior position of 'large retailers,' it is sufficient [for the authority] to show that the **worth (i.e., 'meaningfulness')** of trading with the retailer in the supplier's business is significant, even if the suppliers hold significant market positions in relevant markets.'* (¶28¹ and ¶50)
 - 'It is **not required** to establish one's superior bargaining position by assessing each individual transaction with each supplier if there are common features stemming from peculiarities of the relationship between the large retailer and a lot of suppliers, and if they can attest to the large retailer's superiority.'* (¶29, ² ¶51)
(* The KFTC relied on some precedents in which the addressees were subject to the special regulatory obligations under the *Act on Fair Transactions in Large Retail Business*, "LR Regulation")
 - **Inherent differences in business capabilities** can be inferred from the fact the same was required for the large suppliers and they **accepted** (¶51)

1. Seoul High Court Decision 2017Nu60071 delivered on Apr 19, 2018 (*Sinsege*). <https://competition.tistory.com/entry/Sinsege20180419>.
2. Seoul High Court Decision 2017Nu86226 delivered on Feb 13, 2019 (*Seowon*) <https://competition.tistory.com/entry/Seowon20190213>.

Case Study 2: *Coupang* (2021)

• Conclusion

- Violation of the Art. 45(1)(6) (then, Art. 23(1)(4)) (as well as the LR Regulation)¹
- Cease, desist order & adm. fine of ₩ 1,360 million won (¥107)* (circa ¥ 141 million)
* which reflected the gravity and duration of the infringement of the MRFTA (¥99)

• Appeal

- (no criminal referral)
- Coupang has appealed the decision, and the case is pending before the Seoul High Court

(Source: MBN, Feb 24, 2022)



1. The following conducts fell into the scope of the Regulation: forced suppliers to display advertisements on their products (53-65); foisted promotion costs upon suppliers (66-88); extracted sales incentives that were not included in the annual contracts (89-97).

Case Study 2: *Coupang* (2021)

• Discussions (Questions)

- Can the KFTC's failure to assess the countervailing power be justified? (Hwang Lee (2016)) ¹
 - despite the **limited importance (dependency)** of the sales from Coupang esp. for 8 firms, despite the 8 firms' **objective market power and great business capabilities**
 - Repeat: Structural power (competition concerns) $\neq$ situational power (contractual concerns)
- Are the disputes **competition concerns**?
 - market failure (competition concerns) $\neq$ contract failure (contractual/regulatory concerns)
- Isn't the KFTC's analysis of unfairness **too truncated, simplified or formalistic**?
 - Such a rule-of-thumb approach (similar to *Toys "R" Us* (トイザらス)?) is doubtful and groundless ²
 - In this case, the MRFTA was applied (alongside the LR Regulation) because the 'requiring price matching' practice was **not** regulated under the Regulation (under which the superiority is presumed, the assessment standards are much relaxed)
 - Noteworthy, however, that the **MRFTA** requires a **full-scale analysis** in principle

1. Hwang Lee, 'Concept and Criteria of 'Superior Bargaining Position' in Korean Competition Laws' (2016) 51 Journal of Legislation Research 39 <https://bit.ly/3SYkN5o> ("The author argues for the need for comprehensive and dynamic criteria. SBP tends to be different per each fact settings and in-depth observation and economic analysis is essential to incorporate the dynamics. One should be reminded that the determination of SBP is required to find whether each of trade parties has balanced bargaining power and ultimately the regulation is to prevent hold-up occurred. ... other relevant factors including outside option and countervailing power should be assessed.")
2. In my think, what can be inferred from the acceptance is not the presence of the position/power but the causal relationship between power and abuse.

Case Study 2: *Coupang* (2021)

- **Discussions (Questions)**

- Reference case – Japan's *Rakuten* (2021) (closed)¹

1. Facts

Rakuten, an online shopping service provider, was alleged to have foisted shipping costs upon sellers to implement the 'free shipping service' (*erga omnes*) and to penalize (threaten to penalize) some sellers for their non-compliance by imposing unfavorable conditions on them, especially in terms of rankings in search results and renewal of contracts.

2. Statute

Art. 19 with Art. 2(9)(v)(c) – the prohibition of disadvantaging counterparties by exploiting one's superior bargaining position *vis-à-vis* the parties (Q. How much dependent? No countervailing power? No feasible alternatives – Amazon, Yahoo! Japan, etc. – at all?)

3. Disadvantages

Sellers' freedom was infringed (Q. How much matters?); Non-participant sellers' revenue decreased as they attached the shipping prices; Non-participant sellers were placed at a competitive disadvantage (Q. No matter how the competition between platforms is significantly affected? What about efficiency gains, consumer benefits, and other justifications?)

4. Conclusion (remedies)

The case has been closed after Rakuten's pledged some voluntary measures

1. For more details, see 早川雄一郎, '楽天の「共通の送料込みライン」に係る独禁法違反被疑事件 - 公正取引委員会令和3・12・6公表' 独占禁止法判例研究 (会第64回) (2022)

CONCLUDING REMARKS

Concluding Remarks (further questions)



- To find the optimal, the following questions² are worth being answered:
 - Relevant? – Does the ASBP Enf serve the **screening** function (objective) of power and abuse?
 - * Structural relativity (not situational, trivial); market failure (as opposed to contract/bargaining failure)
 - Effective? – Does the ASBP Enf **effectively contribute** to achieving the objective?
 - * Tackling abusive practices by digital platforms; redressing conflicts in captive vertical value chains
 - Efficient? – Does the ASBP Enf make the achievement possible **with minimum costs**?
 - * Resource savings in defining the relevant market; increasing the chances of winning the cases; self-assessment?
 - Coherent? – Is the ASBP Enf **consonant, consistent with** other existing competition rules?
 - * Dominance and dependence?; anti-competitiveness or moral opprobrium (*mala in se?*)...

1. For several challenges that the KFTC face, regarding the ASBP enforcement, see Yong Lim and Soojin Nam, 'Bringing Abuse of Superior Bargaining Position into the Digital Era' (ASCOLA Asia Online Seminar May 30, 2022) <https://1drv.ms/v/s!Aj4guqEY12qGuWm7Of5JHcjsRCRy?e=1ZrqSA>.

2. European Commission, 'Better Regulation Guidelines' (Staff Working Document) SWD(2021) 305 final.

THANK YOU

감사합니다 / どうもありがとうございました

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